

Understanding the Market and Problem Breakdown

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Objective: Analyze the grocery delivery market, understand delivery models (instant vs. scheduled), and break down the conversion funnel for scheduled delivery adoption.

Market Landscape

COMPETITORS who support Scheduled Delivery	Scheduled Delivery Window	FY24 Growth catalysts	Standouts	Estimated Market Share (2025) / Scheduled delivery share	Scheduled Service shows
AMAZON FRESH	2 hours slots for a week from 6 am to 12 am window	✖ Added 74 new cities in 2024 ✖ Localized assortments in 11 regional languages ✖ Farmer FSA programs increased by 140% ✖ 23% YoY growth in essentials delivery	Recurring reservation capability	11–13% / 28–32%	✖ 2.3x Higher Retention (scheduled vs industry avg) ✖ 38% Lower CAC (scheduled vs instant) ✖ 19% Higher NPS (scheduled vs instant)
FLIPKART SUPERMART	2 windows 7 am to 4pm and 2pm to 11pm for upto 5 days	✖ Dark store expansion; focus on fresh ✖ Cross-sell with Flipkart ecosystem ✖ New city launches ✖ 1.6X year-on-year growth	Precision Delivery via Lat-Long Addressing System	8–10% / 12–16%	✖ 1.7x Higher Retention (scheduled vs industry avg) ✖ 22% Lower CAC (scheduled vs instant) ✖ 11% Higher NPS (scheduled vs instant)
BIGBASKET	New hourly slots every 30 minutes from 6am to 11pm for a week	✖ BB Now quick commerce rollout ✖ Supply chain investments ✖ Non-metro growth ✖ In FY24, BigBasket's slotted delivery model generated around 700 crore of revenue	Subscription-based savings with BB Daily & BB Supersaver	16–18% / 38–42%	✖ 2.1x Higher Retention (scheduled vs industry avg) ✖ 34% Lower CAC (scheduled vs instant) ✖ 17% Higher NPS (scheduled vs instant)

Advantages of Scheduled Delivery System

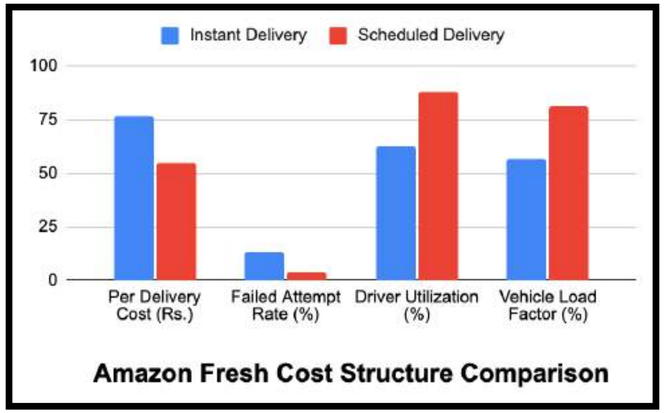
- ☑ Operational efficiency
- ☑ Cost reduction
- ☑ Predictable demand
- ☑ Higher delivery reliability
- ☑ Low Wastage
- ☑ High CSAT

Frontend Flow

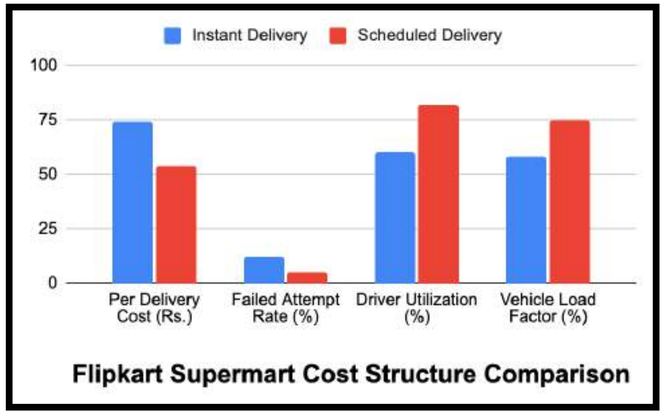
Product Discovery & Carting → Slot Selection at Checkout → Order Confirmation

Backend Flow

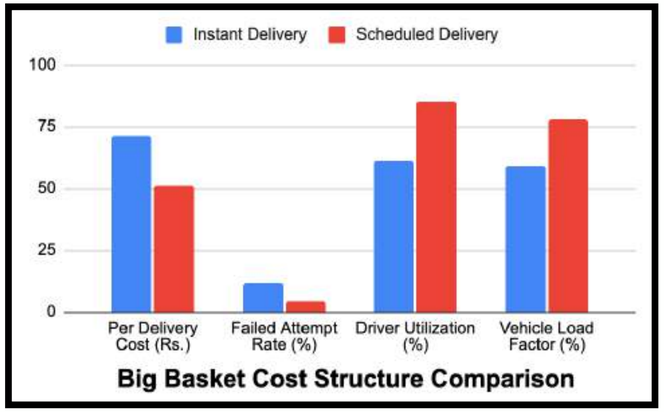
Slot Management Engine → Inventory Hold & Sync → Batching & Routing Logic → Fulfillment Ops



Amazon Fresh Cost Structure Comparison



Flipkart Supermart Cost Structure Comparison



Big Basket Cost Structure Comparison

Features of Scheduled Delivery System

- ☑ Slot Management Engine
- ☑ Order Management System
- ☑ Route Planning System
- ☑ Notification Engine
- ☑ Reschedule/Cancel API

Zepto’s positioning and operational cost implications of instant vs. scheduled

Positioning

- Blinkit leads quick-commerce (~41–46% share)
- Rapidly grown into the #2–#3 spot (~29–30% share by FY25
- Backed by ~$665M funding (valuation ~$3.6B in Jan 2024)
- Competes on a 10-min delivery promise with ~750 dark stores
- With the current model - FY2024 showed revenues of ₹4,454 crore against expenditures of ₹5,747 crore

Comparative Cost Analysis (Per Order)

Metric	Instant Delivery	Scheduled Delivery	Cost Savings (Scheduled)
Per-Delivery Cost	₹70–₹85	₹45–₹55	25–35%
Failed Attempt Rate	12–15%	4–6%	8–9 pp reduction
Driver Utilization	60–65%	80–85%	20–25% improvement
Order Batching	1–2 orders/ vehicle	4–5 orders/ vehicle	2–3x efficiency gain
Customer Retention	70–75% (30-day)	85–90% (30-day)	15–20% improvement

- **Last-Mile Logistics**
  - Per-Delivery Cost
  - Vehicle Load Factor
  - Fuel/EV Costs
- **Labor Costs**
  - Driver Utilization
  - Peak-Hour Strain
- **Failed Delivery Attempts**
  - Driver Utilization
  - Peak-Hour Strain
- **Inventory & Fulfillment**
  - Stock-Outs
  - Picking Efficiency
- **Customer Acquisition & Retention**
  - Churn Rate
  - CAC

Strategic Implications

Cost Efficiency ->
Scheduled delivery could reduce Zepto’s overall fulfillment costs by **₹18–₹25 per order**, translating to **₹90–₹125 crore annually** (assuming 5 crore orders/year)

Peak-Hour Optimization ->

Shifting 20–30% of instant orders to scheduled slots would:
- Reduce peak-hour rider demand by 35–40%
- Cut overtime costs by ₹50–₹70 crore/year

Customer Lifetime Value ->
Scheduled users have **2.3x higher retention** and **28% larger basket sizes** vs. instant users

Revenue Synergies ->
- **Subscription Models**: A "Zepto Pass" (₹299/month) for free scheduled deliveries could boost retention
- **Dynamic Pricing**: Premium slots (e.g., 7–9 AM) could command ₹10–₹20 extra

Challenges & Mitigations

Customer Expectations: Transitioning from 10-minute to scheduled requires clear communication (e.g., incentives for planning)

Infrastructure: Requires dark store redesign for batch picking and inventory segmentation

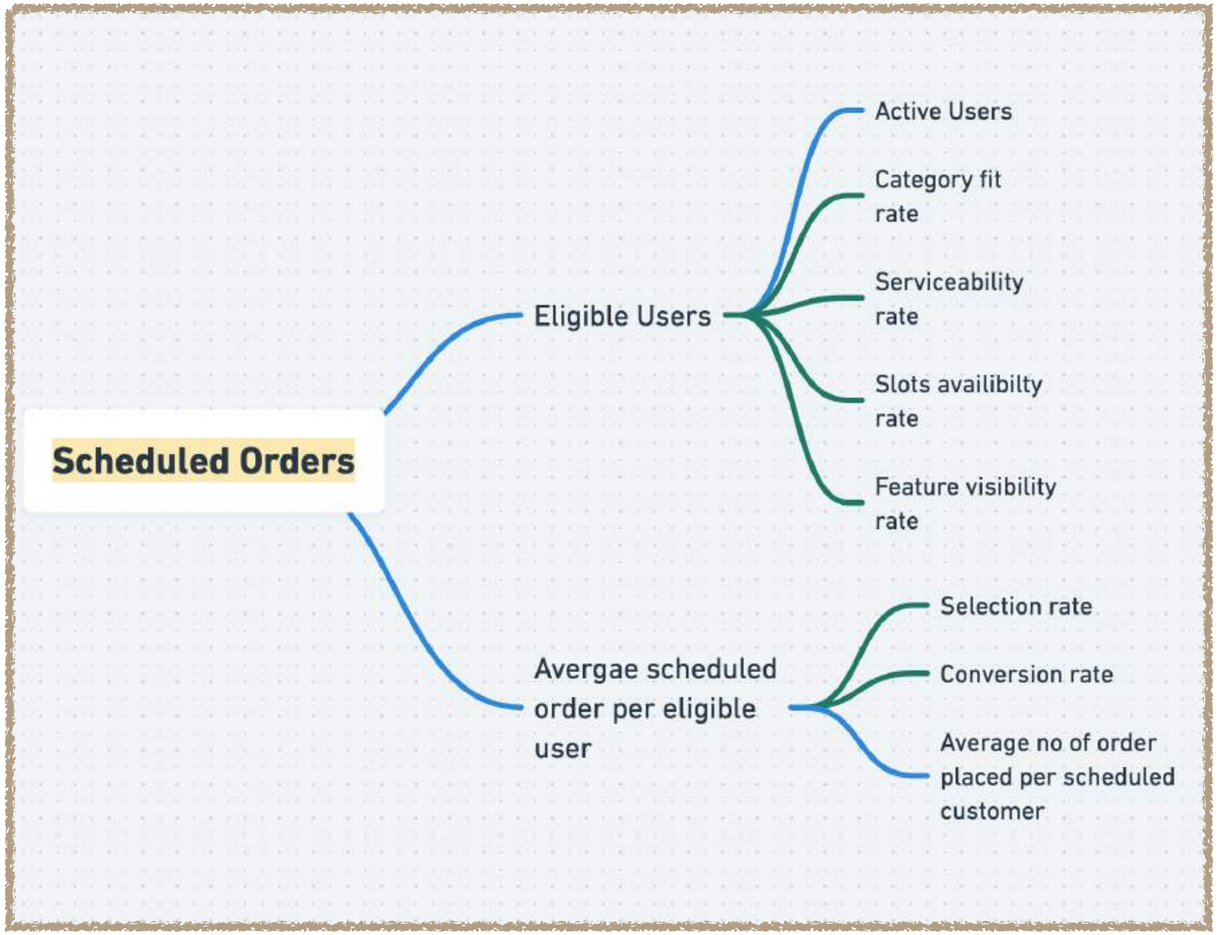
Tech Investments: AI for slot optimization and demand forecasting (est. ₹30–₹50 crore upfront)

Zepto has begun charging fees (platform fee of ₹2 per order and delivery fees) to improve unit economics

Problem breakdown

Active Users ⟶ Category Fit ⟶ Serviceable ⟶ Slot
Availability ⟶ Shown Scheduled ⟶ Selected ⟶ Completed

zepto

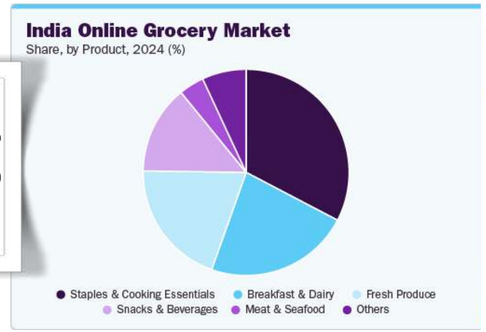


Business Outcome	Why it matters?	Product Outcome
Increase order revenue efficiency	Drives actual revenue	Schedule Conversion Rate
Shift volume to lower-cost mode	Reduces cost, smooths demand	Schedule Selection Rate
Improve user trust & control	Prevents drop-offs, builds trust	Schedule Availability Rate
Expanded scheduled delivery coverage	Grows eligible order volume	Serviceability Rate
Higher-value recurring customer base	Drives repeat and retention	Category Fit Rate
Increased awareness of scheduled option	Boosts slot selection rate	Schedule Visibility Rate

Zepto's current model is heavily dependent on its **10-minute instant delivery** promise => High operational strain

Focusing on scheduled delivery adoption => cost efficiency, customer loyalty, and scalable growth => Long-term profitability and market leadership in India's fast-growing online grocery sector.

Category Fit





Serviceability



THANK YOU!

Empowering customers to plan their essentials is more than a feature—it's the foundation of lasting relationships and brand trust